

Court No. - 9

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage & Ice Factory

Respondent :- M.V.V.N.L. & Anr.

Petitioner Counsel :- B.C. Rai

Respondent Counsel :- H.P. Dube

Hon'ble V.M. Sahai, J.

Hon'ble Sudhir Agarwal, J

Heard Sri B.C. Rai for the petitioner and Sri S.K. Dubey for respondents.

From the perusal of the letter dated 5.8.2009 along with statement of account, it appears that a huge amount has already been deposited by the petitioner in excess yet without adjusting the same, a sum of Rs. 1,16,470/- has been demanded by means of the letter dated 5.9.2009 and the Executive Engineer has not adjusted the amount already paid by the petitioner in excess. Learned counsel for the petitioner submitted that earlier the petitioner was getting the supply from urban feeder but by means of the letter dated 5.9.2009, the Executive Engineer has not directed for supply to the petitioner from rural feeder.

Learned counsel for the respondents prays for and is allowed one month time to file counter affidavit. Petitioner will have three weeks thereafter to file rejoinder affidavit.

Until further orders, the demand pursuant to the letter dated 5.9.2009 (Annexure 6 to the writ petition) as well operation of the order dated 5.9.2009 (Annexure 7 to the writ petition) shall remain stayed.

Dt. 22.12.2009

PS-70447/09

Court No. - 1

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage And Ice Factory

Respondent :- M.V.V.N.L. And Anr.

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- H.P. Dube

Hon'ble Ramesh Sinha,J.

Hon'ble Ajit Kumar,J.

As prayed, list peremptorily in the next cause list.

When the matter is listed next name of Sri Shivam Yadav, be shown as counsel for the respondents.

Order Date :- 24.10.2019

Nadeem Ahmad

(Ajit Kumar,J.) (Ramesh Sinha,J.)

Court No. - 1

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage And Ice Factory

Respondent :- M.V.V.N.L. And Anr.

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- H.P. Dube

Hon'ble Ramesh Sinha,J.

Hon'ble Ajit Kumar,J.

List again in the next cause list.

Sri B. C. Rai, learned counsel for the petitioner shall inform about this order in writing to Sri Shivam Yadav, learned Advocate within 24 hours.

Order Date :- 7.11.2019

Nitin Verma

(Ajit Kumar, J.) (Ramesh Sinha, J.)

Court No. - 1

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage And Ice Factory

Respondent :- M.V.V.N.L. And Anr.

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- H.P. Dube

Hon'ble Ramesh Sinha,J.

Hon'ble Ajit Kumar,J.

Sri Shivam Yadav, learned counsel for the Power Corporation states that his counter affidavit is under preparation and prays for some time to file the same.

Matter is adjourned.

List after two weeks to enable the learned counsel for the Power Corporation to file the counter affidavit.

Order Date :- 15.11.2019

IrfanUddin

(Ajit Kumar,J.) (Ramesh Sinha,J.)

Court No. - 1

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage And Ice Factory

Respondent :- M.V.V.N.L. And Anr.

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- H.P. Dube

Hon'ble Ramesh Sinha,J.

Hon'ble Samit Gopal,J.

Sri Deepak Kumar Pandey holding brief of Sri B.C. Rai, learned counsel for the petitioner is present but there appears to be an illness slip of Sri Shivam Yadav, learned counsel for the respondent.

List the matter in the next cause list peremptorily.

Order Date :- 13.12.2019

AS Rathor

(Samit Gopal, J.) (Ramesh Sinha, J.)

Court No. - 1

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage And Ice Factory

Respondent :- M.V.V.N.L. And Anr.

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- H.P. Dube, Shivam Yadav

Hon'ble Ramesh Sinha,J.

Hon'ble Ajit Kumar,J.

Sri M.K.Yadav, learned Advocate holding brief of Sri Shivam Yadav, learned counsel for the respondent has filed counter affidavit today, which is taken on record.

Learned counsel for the petitioner prays for and is allowed three weeks' and no more time to file rejoinder affidavit.

List thereafter.

Order Date :- 10.1.2020

Sanjeev

(Ajit Kumar,J.) (Ramesh Sinha,J.)

Court No. - 1

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage And Ice Factory

Respondent :- M.V.V.N.L. And Anr.

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- H.P. Dube, Shivam Yadav

Hon'ble Ramesh Sinha,J.

Hon'ble Ajit Kumar,J.

Sri D.K.Pandey, learned Advocate holding brief of Sri B.C.Rai, learned counsel for the petitioner states that his rejoinder affidavit is under preparation and due to unavoidable circumstances, he could not file the same.

List this case peremptorily in the next cause list.

Order Date :- 4.2.2020

Sanjeev

(Ajit Kumar,J.) (Ramesh Sinha,J.)

Court No. - 1

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage And Ice Factory

Respondent :- M.V.V.N.L. And Anr.

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- H.P. Dube, Shivam Yadav

Hon'ble Ramesh Sinha,J.

Hon'ble Ajit Kumar,J.

As prayed, list this case peremptorily in the next cause list.

Order Date :- 11.2.2020

Sanjeev

(Ajit Kumar,J.) (Ramesh Sinha,J.)

A.F.R.

Court No. - 1

Case :- WRIT - C No. - 70447 of 2009

Petitioner :- M/S. Kamla Cold Storage And Ice Factory

Respondent :- M.V.V.N.L. And Anr.

Counsel for Petitioner :- B.C. Rai

Counsel for Respondent :- H.P. Dube, Shivam Yadav

Hon'ble Ramesh Sinha, J.

Hon'ble Ajit Kumar, J.

Heard Sri B.C. Rai, learned counsel for the petitioners and Sri Shivam Yadav, learned counsel for the respondents. Perused the record.

By means of this petition under Article 226 of the Constitution of India, the petitioner has made three prayers claiming substantial relief in the matter, reproduced hereunder:

"i. issue a writ order or direction in the nature of certiorari quashing the impugned order dated 05.09.2009 and order dated 05.08.2009 in so far it refused to allow electricity connection from town feeder (Annexure Nos.6 and 5 to the writ petition), passed by the Executive Engineer;

ii. issue a writ order or direction in the nature of mandamus restraining the respondents from disconnecting electric supply till the final adjustment of amount found refundable to the petitioner;

iii. issue a writ order or direction in the nature of mandamus directing the Executive Engineer to allow interest on the amount found refundable to the petitioner along with rebates provided in the tariffs' order and further to allow revision of electricity bill under Non-Continuous Process Industry;"

Initially when the writ petition was entertained this Court has been pleased to pass the following order on 22.12.2009:

"Heard Sri B.C. Rai for the petitioner and Sri S.K. Dubey for respondents.

From the perusal of the letter dated 5.8.2009 along with statement of account, it appears that a huge amount has already been deposited by the petitioner in excess yet without adjusting the same, a sum of Rs. 1,16,470/- has been

demanded by means of the letter dated 5.9.2009 and the Executive Engineer has not adjusted the amount already paid by the petitioner in excess. Learned counsel for the petitioner submitted that earlier the petitioner was getting the supply from urban feeder but by means of the letter dated 5.9.2009, the Executive Engineer has not directed for supply to the petitioner from rural feeder.

Learned counsel for the respondents prays for and is allowed one month time to file counter affidavit. Petitioner will have three weeks thereafter to file rejoinder affidavit.

Until further orders, the demand pursuant to the letter dated 5.9.2009 (Annexure 6 to the writ petition) as well operation of the order dated 5.9.2009 (Annexure 7 to the writ petition) shall remain stayed."

Today now when after the exchange of pleadings the matter has come up at admission stage, learned counsel for the parties agreed that the case can be decided finally at this stage.

At the very outset, learned counsel for the petitioner submits that he is not pressing prayer no.1 and 2 of the writ petition and to that extent, therefore, the writ petition may be dismissed as withdrawn.

Hence, the petition is dismissed as withdrawn without any further liberty, in respect of prayer no.1 and 2 of the writ petition.

In so far as the prayer no.3 is concerned, learned counsel for the petitioner has argued that in view of the statutory provision as contained under Sub-Section 6 of Section 62 of the Electricity Act, 2003, the petitioner has become entitled for an interest over and above an amount of Rs.3,98,033.4/-, in the face of the fact that the Executive Engineer, Electricity Distribution Division-3rd, Madhyanchal Vidyut Vitran Nigam Limited, Bisauli, Budaun, namely, respondent no.2 has admitted to have charged excess amount towards the electricity charges from the petitioner and which was liable to be adjusted from the future running electricity bills against consumption. It has been argued by learned counsel for the petitioner that since the Electricity Regulatory Commission

has been notifying tariff from time to time, the respondents are entitled to charge electricity charges on the basis of the tariff order. He submits that in the year 2002, there was difference between the tariff order relating to the electricity supply from rural feeder than from the town feeder and there was 10 % rebate prescribed for on the demand of charge and energy charge. He argues that the tariff is nothing but a charge against the electricity per unit consumption which is issued under the tariff order. He submits that the tariff orders are issued by the Regulatory Commission from time to time and until year 2006 there was a difference between the urban schedule and rural schedule. However, later on, it came to be crystallized in the form of rebate only. He submits that once the respondents have supplied electricity to the petitioner's cold storage from the rural feeder instead of a town feeder despite the petitioner's cold storage being a continuous process industry, the charges levied by the respondents on the electricity consumption would amount to be a charge in derogation to the tariff order notified by the Electricity Regulatory Commission from time to time and, therefore, such an action would come within the ambit and scope of Sub-Section 6 of Section 62 of the Electricity Act, 2003.

Per contra, it has been argued by learned counsel for the contesting respondents that the petitioner has only been granted rebate in terms of the tariff orders issued from time to time as the supply was being made from the rural feeder, the grant of rebate would not amount to an act of admission that the petitioner was being charged higher tariff than the one provided under the tariff order. He submits that the electricity charges are made on the basis of the consumption and except in cases of continuous process industry the petitioner was entitled to the exemption under Clause

10 of the notification issued under Section 22B of the Indian Electricity Act, 1910. It has been further argued that the petitioner's cold storage as of now is not in operation, inasmuch as the petitioner was provided with the supply from the rural feeder on his own request and, therefore, the petitioner now cannot be permitted to take a 'U'-turn that the petitioner be given rebate as the supply was made from rural feeder instead of urban feeder.

Specific averment to the above effect has been made in paragraph nos.3, 4, 7, 8 & 9 of the counter affidavit and reply to which made in the rejoinder affidavit, it is alleged is quite evasive. The petitioner does not dispute in the rejoinder affidavit the two basic facts: firstly, that the petitioner's industry is not a continuous process industry; and secondly that supply of electricity to the petitioner's cold storage was from rural feeder on the request being made by the petitioner himself.

It has been urged by learned counsel for the respondents that the petitioner since has been offered rebate as per tariff order itself, the petitioner is not entitled for any interest. He further submits that there is no charge of higher tariff being charged in the matter. The rebate is an *ex gratia* policy of the commission in framing the tariff order and there is nothing in law which entitles the petitioner to have interest over and above such rebate. He submits that if it is a charge for the electricity, it has to be charged accordingly. The benefit of rebate is offered as in the present facts and circumstances, is covered under the tariff order and it is that benefit that has been given to the petitioner.

Having heard learned counsel for the parties and having perused the record and the provisions specifically dealing with interest under Sub-Section 6 of Section 62 of the Electricity Act,

2003 (for short Act, 2003), we find that the undisputed position is that if the charge exceeding the tariff determined, then under the Section, excess amount is recoverable by a person who has paid such charge alongwith interest to the bank rate. The question, therefore, is now as to what is the situation or a contingency where the department can be saddled with the statutory liability to pay interest.

The word 'tariff' has not been defined under the Act, 2003, however, U.P. Electricity Supply Code, 2005 (Code, 2005) vide clause 2.2 (yy) defines 'tariff order' as under:

'Tariff Order' in respect of a Licensee means order issued by the Commission for that Licensee indicating the rates to be charged by the Licensee from various categories of consumers for the supply of electrical energy and services.

Code, 2005 vide clause 2.2 (zz) also defines 'tariff schedule' as under:

'Tariff Schedule' is the most recent schedule of charges for supply of electricity and services issued by the Licensee as per the provisions of the Tariff order for that Licensee.

The above definitions are clearly indicative of tariff means rates of electricity supplied, to be charged by the licensee and schedule prescribed of such charges to be levied by the licensee. Clause 2.2 of Chapter 2 (Definitions) of Code, 2005 defines the word 'energy charge' and 'fixed charges'. Clause 2.2 (z) (dd) defines energy charge as well as fixed charges. While the "energy charge" is defined as "a charge levied on the consumer for each unit of the electricity supplied as per the tariff order of the

Commission", the "fixed charges" shall be as per provisions of the tariff order. Clause 2.2 (u) defines demand charge as 'a charge levied on the consumer based on maximum demand or as per the tariff order'. Clause 2.2 (z) defines energy charges as 'a charge levied on the consumer for each unit of electricity supplied as per tariff order of the Commission'. The maximum demand has been defined under Clause 2.2 (ll) as 'the average amount of KW or KVA, as the case may be, delivered at the point of supply of the consumer and recorded during a 30 minute period of maximum use in the billing period'.

So from the above we find that the demand charge is a kind of charge for the electricity supply to be either as per the tariff order or as per the billing status of the average amount at the time of maximum use in that period of billing. The energy charge is the charge for the consumption per unit and this is also to be provided under the tariff order and the fixed charges are also as per the tariff order.

Section 62 of the Act, 2003 provides for the determination of tariff which runs as under:

"Section 62. (Determination of tariff): --- (1) *The Appropriate Commission shall determine the tariff in accordance with the provisions of this Act for –*

(a) supply of electricity by a generating company to a distribution licensee:

Provided that the Appropriate Commission may, in case of shortage of supply of electricity, fix the minimum and maximum ceiling of tariff for sale or purchase of electricity in pursuance of an agreement, entered into between a generating company and a licensee or between licensees, for a period not exceeding one year to ensure reasonable prices of electricity;

(b) transmission of electricity ;

(c) wheeling of electricity;

(d) retail sale of electricity:

Provided that in case of distribution of electricity in the same area by two or more distribution licensees, the

Appropriate Commission may, for promoting competition among distribution licensees, fix only maximum ceiling of tariff for retail sale of electricity.

(2) The Appropriate Commission may require a licensee or a generating company to furnish separate details, as may be specified in respect of generation, transmission and distribution for determination of tariff.

(3) The Appropriate Commission shall not, while determining the tariff under this Act, show undue preference to any consumer of electricity but may differentiate according to the consumer's load factor, power factor, voltage, total consumption of electricity during any specified period or the time at which the supply is required or the geographical position of any area, the nature of supply and the purpose for which the supply is required.

(4) No tariff or part of any tariff may ordinarily be amended, more frequently than once in any financial year, except in respect of any changes expressly permitted under the terms of any fuel surcharge formula as may be specified.

(5) The Commission may require a licensee or a generating company to comply with such procedures as may be specified for calculating the expected revenues from the tariff and charges which he or it is permitted to recover.

(6) If any licensee or a generating company recovers a price or charge exceeding the tariff determined under this section, the excess amount shall be recoverable by the person who has paid such price or charge along with interest equivalent to the bank rate without prejudice to any other liability incurred by the licensee."

Section 62 says that the tariff shall be determined in accordance with the provisions of this Act for the supply of electricity, transmission of electricity, billing of electricity, retail sale of electricity.

In the present case, we are concerned with the retail sale of the electricity. Since the tariff itself has not been defined, it would be taken to be a charge for the supply in different heads like fixed charges, electricity charges etc. As different tariff orders have been placed before us it is very much clear and explicit from a bare reading of the same that different kind of charges have been provided and have been amended from time to time. But the question is as to whether the petitioner has been charged with more tariff than the prescribed one. From close scrutiny of the

order impugned and the billing chart that has been provided to the petitioner alongwith the order, it is clearly revealed that the fixed charges have remained as per the supply to the cold storage, prescribed under the Rules and since the tariff order provided for rebate, the rebate has been granted to the petitioner. It, therefore, can be safely concluded that the petitioner has not been levied with any excessive tariff than the prescribed one. However, the rebate that has been offered to the petitioner finally, it can be said to have been offered by the respondents on the basis of calculation *qua* regular entitlement for supply of electricity in the past. It is this much of inaction for quite sometime or delayed action consequently is claimed to be an act of admission on the part of respondents to bind them to pay interest in the matter.

The distinction between the demand raised as per tariff order and rebate is that licensee shall calculate the energy charges, fixed charges etc. as per the tariff order whereas the tariff order also provides for rebate over and above such charges in the form of certain percentage to deduct the amount from the demand raised. So both in case of computation as per tariff order and rebate on the basis of tariff order to make the demand an actual demand have inbuilt mechanism for calculation on the basis of same tariff order, to wit: fixed rate of electricity supplied and rate of electricity per unit consumed. Rebate thus is a concession not on the tariff chargeable but on the bill generated to make it finally a demand to be raised and to be paid by the consumer. It, therefore, cannot be equated to a case where higher tariff is charged than the prescribed one in a bill to make a consumer entitled to refund with interest as per Sub Section (6) of Section 62 of the Act, 2003.

In the facts and circumstances of this case where there is a

clear admission on the part of the petitioner, we find merit in the submission of learned counsel for the respondent that the petitioner has not denied fact averred in relevant paragraphs of counter affidavit that petitioner himself demanded supply from the rural feeder while he was being supplied from the urban feeder. This sudden change would have delayed the rebate process and therefore, no malice in law detected in the matter at the end of the respondent authorities. The claim of interest is a kind of penalty in law for unjust enrichment either by denying a person the money to which he was entitled or, something more has been extracted beyond the lawful authority. The rebate, therefore, cannot be equated to excessive tariff charged so as to bring it within the ambit of Sub-Section 6 of Section 62 of the Electricity Act, 2003. The rebate itself is a part of the tariff order, of which percentage has been changed from time to time and once the petitioner has been given the due rebate, we do not think that the petitioner is entitled for any further interest, over and above, the amount adjusted against the electricity dues.

The writ petition lacks merit and is, accordingly, dismissed.

Interim order, if any, stands discharged.

(Ajit Kumar, J.) (Ramesh Sinha, J.)

Order Date :- 18.2.2020/Deepika